Robert Half

Q1 2026

Financial Results Conference Call

Prepared Remarks From:

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April 23, 2026

First-Quarter 2026 Financial Results Conference Call

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Operator:

Introduction

M. Keith Waddell, President and Chief Executive Officer, Robert Half:

Hello, everyone. We appreciate your time today.

Before we get started, I would like to remind you that the comments made on today's call contain forward-looking statements, including predictions and estimates about our future performance. These statements represent our current judgment of what the future holds. However, they are subject to risks and uncertainties that could cause actual results to differ materially from the forward-looking statements. These risks and uncertainties are described in today's press release and in our most recent 10-K and 10-Q filed with the SEC. We assume no obligation to update the statements made on today's call.

During this presentation, we may refer to certain non-GAAP financial measures as 'adjusted.' Adjusted revenue growth excludes the impact of billing day variations and foreign currency exchange rates. Adjusted gross margin, SG&A, and operating income reflect the combining of investment gains and losses related to employee deferred compensation plans with corresponding changes in those obligations; these items have no impact on reported net income. Reconciliations and additional information are included in the supplemental schedules to our earnings release.

For your convenience, our prepared remarks for today's call are available in the Investor Center of our website, roberthalf.com.

For the first quarter of 2026, global enterprise revenues were $1.300 billion, down 4 percent from last year's first quarter on a reported basis and down 6 percent on an adjusted basis. We are very pleased that talent solutions delivered a second consecutive quarter of positive sequential growth on a same-day constant currency basis, with revenue trends strengthening as the quarter progressed and into early April. Overall, we believe market conditions are becoming increasingly conducive to our business, and our unique combination of award-winning high-tech capabilities and high-touch expertise positions us well to deliver meaningful value for clients navigating a dynamic business environment.

Net income per share in the first quarter was $0.14, compared to $0.17 in the first quarter one year ago. As Mike will discuss, first-quarter EPS was impacted by a seasonally elevated tax rate tied to stock-based compensation, which we expect to normalize as the year progresses.

We remain very well-positioned to capitalize on emerging opportunities and support our clients' talent and consulting needs through the strength of our industry-leading brand, people, technology and unique business model that includes both professional staffing and business consulting services.

Cash flow used in operations during the quarter was $112 million. Cash outflows are seasonally elevated each year in the first quarter due to the annual payment cycle for bonuses and SAAS subscriptions renewals, among others. In March, we distributed a 59-cent-per-share cash dividend to our shareholders of record, for a total cash outlay of $62 million.

Return on invested capital for the Company was 4 percent in the first quarter.

Now I'll turn the call over to our CFO, Mike Buckley.

Michael C. Buckley, CFO, Robert Half:

Revenues

Thank you, Keith. Hello, everyone.

As Keith noted, global revenues were $1.300 billion in the first quarter.

On an adjusted basis, first-quarter talent solutions revenues were down 7 percent year over year. U.S. talent solutions revenues were $626 million, down 7 percent from the prior year's first quarter. Non-U.S. talent solutions revenues were $208 million, down 3 percent year over year. We conduct talent solutions operations through offices in the United States and 18 other countries.

In the first quarter of 2026, there were 61.9 billing days, the same as the first quarter one year ago. The second quarter of 2026 has 63.1 billing days, compared to 63.2 billing days in the second quarter of 2025.

Currency exchange rate movements during the first quarter had the effect of increasing reported year-over-year total revenues by $24 million—$16 million for talent solutions and $8 million for Protiviti.

Contract talent solutions bill rates for the first quarter increased 2.6 percent compared to one year ago, adjusted for changes in the mix of revenues by functional specialization, currency and country. This rate for the fourth quarter was 3.2 percent.

Now let's take a closer look at results for Protiviti. Global revenues in the first quarter were $466 million: $362 million of that is from the United States, and $104 million is from outside the United States. On an adjusted basis, global first-quarter Protiviti revenues were down 4 percent versus the year-ago period. U.S. Protiviti revenues were down 6 percent, while non-U.S. Protiviti revenues were up 8 percent compared to one year ago. Protiviti and its independently owned Member Firms serve clients through locations in the United States and 27 other countries.

Gross Margin

Turning now to gross margin: In contract talent solutions, gross margin was 38.9 percent of applicable revenues in both the current quarter and the first quarter one year ago. Conversion (or contract-to-hire) revenues were 3.1 percent of contract revenues in the current quarter, compared to 3.2 percent in the first quarter of 2025.

Our permanent placement revenues were 13.1 percent of consolidated talent solutions revenues in the current quarter, compared to 12.8 percent in the first quarter of 2025. When combined with contract talent solutions gross margin, overall gross margin for talent solutions was 46.8 percent of applicable revenues in the current quarter, compared to 46.7 percent in the first quarter of 2025.

For Protiviti, gross margin was 19.2 percent of Protiviti revenues in the first quarter and 18.9 percent in the first quarter one year ago. Adjusted gross margin for Protiviti was 18.8 percent for the quarter just ended, compared to 18.1 percent last year.

Selling, General and Administrative Costs

Enterprise SG&A costs were 34.1 percent of global revenues in the first quarter, compared to 34.0 percent in the same quarter one year ago. Adjusted enterprise SG&A costs were 34.6 percent for the quarter just ended, compared to 35.2 percent one year ago.

Talent solutions SG&A costs were 44.2 percent of talent solutions revenues in the first quarter, versus 43.7 percent in the first quarter of 2025. Adjusted talent solutions SG&A costs were 45.0 percent for the quarter just ended, compared to 45.5 percent last year.

First-quarter SG&A costs for Protiviti were 15.9 percent of Protiviti revenues, compared to 16.3 percent for the same quarter one year ago.

Operating Income

Operating income for the first quarter was $37 million. Adjusted operating income was $29 million in the quarter, or 2.2 percent of revenues. First-quarter adjusted operating income from talent solutions was $16 million, or 1.8 percent of revenues. Adjusted operating income for Protiviti in the first quarter was $13 million, or 2.9 percent of revenues.

Loss from investments held in employee deferred compensation trusts

Our first-quarter 2026 income statement includes an $8 million loss from investments held in employee deferred compensation trusts. This is completely offset by an equal amount of lower employee deferred compensation costs, which are reflected in SG&A expenses and direct costs. As such, it has no effect on our reported net income.

Tax Rate

Our first-quarter tax rate was 56 percent, compared to 22 percent one year ago. This elevated tax rate is primarily the result of a tax charge related to our employee stock-based compensation grants, the majority of which vest in the first quarter, and the magnified impact of non-deductible tax items when measured against seasonally low Q1 pre-tax income.

Accounts Receivable

At the end of the first quarter, accounts receivable were $776 million, and implied days sales outstanding (DSO) was 53.8 days.

Guidance

Before we move to second-quarter guidance, let’s review some of the monthly revenue trends we saw in the first quarter and so far in April, all adjusted for currency and billing days.

Contract talent solutions exited the first quarter with March revenues down 5 percent versus the prior year, compared to a 7 percent decrease for the full quarter. Revenues for the first two weeks of April were down 1 percent compared to the same period last year.

Permanent placement revenues in March were down 6 percent versus March 2025. This compares to a 5 percent decrease for the full quarter. For the first three weeks in April, permanent placement revenues were down 7 percent compared to the same period in 2025.

We provide this information so you have insight into some of the trends we saw during the first quarter and into April. But as you know, these are very brief time periods. We caution against reading too much into them.

With that in mind, we offer the following second-quarter guidance:

- Revenues: $1.275 billion to $1.375 billion
- Income per share: $0.20 to $0.30
- Income per share excluding the $0.03 one-time severance charge noted below: $0.23 to $0.33

Guidance Assumptions

Midpoint revenues of $1.325 billion are 4 percent lower than the same period in 2025 on an adjusted basis.

Our midpoint revenue guidance for the second quarter reflects continued positive adjusted sequential revenue growth for talent solutions.

Our Q2 revenue guidance for Protiviti reflects ongoing shifts in the U.S. financial services regulatory environment, which Keith will address in just a moment. As a result, cost actions are planned that will impact our Q2 midpoint adjusted gross margin guidance by 5 million in expected severance costs, or $0.03 per share. We expect these actions will be fully completed by the beginning of the third quarter.

The major financial assumptions underlying the midpoint of these estimates are as follows:

Adjusted Revenue Growth, year-over-year:

Talent solutions:		0%	to	Down	4%
Protiviti:	Down	4%	to		8%
Overall:	Down	1%	to		5%

Adjusted Gross Margin percentage:

Contract talent:	38%	to	40%
Protiviti:	19%	to	21%
Overall:	36%	to	39%

Adjusted SG&A, as a percent of revenues:

Talent solutions:	43%	to	45%
Protiviti:	16%	to	18%
Overall:	34%	to	36%

Adjusted Operating Income, as a percent of revenues:

Talent solutions:	2%	to	4%
Protiviti:	2%	to	4%
Overall:	2%	to	4%

Tax Rate:	34%	to	36%

Shares: 100 million to 101 million

2026 capital expenditures and capitalized cloud computing costs: $70 million to $90 million, with $15 to $25 million in the second quarter.

For the third quarter, we offer the following general observations:

For talent solutions, typical Q3 seasonal trends show relatively flat sequential revenues due to summer holiday effects, especially in Europe. That said, current trends would result in Q3 year-on-year adjusted revenue growth of 1-3 percent, marking a return to positive growth for the first time since 2022.

For Protiviti, Q3 revenues typically increase sequentially tied to seasonally higher internal audit work related to clients' annual internal controls certifications. This typically drives higher staff utilization rates and elevated incremental margins, and we expect a similar pattern this year.

In addition, Q3 for Protiviti will benefit from the absence of Q2 severance costs and lower Q3 staff costs following the Q2 cost actions previously referenced. We estimate Q3 Protiviti sequential revenue gains of 0 percent to 3 percent and, combined with the new lower cost structure, Q3 adjusted segment margins of 7-9 percent, a substantial improvement over Q2 margins and comparable to margins last year.

We estimate that both talent solutions and Protiviti will deliver positive year-over-year segment income growth in Q3, driving Q3 consolidated net income and EPS growth of 8 percent to 12 percent year over year.

All estimates we provide on this call are subject to the risks mentioned in today's press release and in our SEC filings.

Now I'll turn the call back over to Keith.

M. Keith Waddell, President and Chief Executive Officer, Robert Half:

Thank you Mike,

Our first-quarter results for talent solutions reflect continued sequential growth on a same-day, constant-currency basis. We experienced some weather-related disruption in February, but activity levels improved steadily throughout March and into early April. This included increased client engagement and higher numbers of job orders, particularly in areas such as technology modernization, data initiatives and IT infrastructure.

Resource levels at small and midsize businesses, which represent the majority of our client base, remain lean following several years of cost discipline, creating capacity constraints as project activity begins to recover.

In addition, broader labor market indicators continue to point to underlying demand for skilled talent. Unemployment remains low, particularly among college-educated workers and in many of the roles we support, while job openings continue to run above historical averages. Decision timelines remain extended but are beginning to improve as companies revisit postponed initiatives and consider hiring tied to business-critical priorities.

Economic uncertainties related to the conflicts in the Middle East and higher energy costs have not yet significantly impacted client demand; however, concerns remain if these conditions persist.

Candidate behavior also reflects a gradually improving market. Professionals with in-demand skills are increasingly selective, with continued preference for flexibility and competitive compensation, reinforcing the value of our ability to deliver highly skilled talent efficiently.

With respect to artificial intelligence, we continue to see limited impact on employment levels related to the roles we place in our specialties. This is supported by multiple external studies, and there is very little evidence to date that AI adoption is leading to widespread job displacement. Instead, AI is reshaping the way work gets done and increasing the need for skilled professionals with domain expertise and enhanced AI skill sets who can also apply judgment, validate outputs and support implementation.

In addition, the growing use of generative AI by job seekers has increased application volumes, made it more difficult to verify candidate qualifications, and made resumes more homogeneous and harder to differentiate. This further underscores the value of our services, including our proprietary data on candidate performance and our ability to deliver vetted, proven talent.

Protiviti's segment results were impacted by the Q1 seasonal trends we previously guided, with internal audit revenues sequentially lower, and higher staff compensation costs due to annual adjustments made as of January 1. Protiviti is also navigating continued shifts in its risk and compliance solutions practice, reflecting ongoing changes in the U.S. financial services regulatory environment. With a marked decline in new enforcement actions and notable easing in prior enforcement requirements, client demand is increasingly focused on enhancing the efficiency of ongoing compliance programs, which currently involve substantial internal resources and aging infrastructure.

This shift is influencing the mix of Protiviti's work, with relatively fewer large-scale remediation engagements and increased demand for efficiency-oriented solutions, including the application of advanced technologies. These engagements are typically shorter in duration and have different resource leverage profiles than traditional remediation work.

We are actively aligning our resource levels with these evolving client needs while continuing to invest in capabilities that support long-term growth. As such, we are taking cost actions that will reduce annual costs by $30 million and result in a Q2 one-time charge of $5 million or $0.03 per share. These cost actions are expected to be fully implemented by the beginning of the third quarter.

Protiviti's pipeline remains strong across all of its other major solutions areas which are expected to grow sequentially in the second quarter. Our strategic engagement of contract professionals via our talent solutions operations plays an essential role in Protiviti's success and further amplifies our unique, enterprisewide competitive advantage.

Looking ahead, we believe current market conditions are increasingly conducive to our business. Clients are operating with lean teams, unemployment remains low, making it harder for clients to hire on their own, and demand for professionals with specialized skills persists. As confidence continues to improve, even modest increases in hiring activity can drive incremental demand for our services.

We remain energized by our time-tested corporate purpose—to connect people to meaningful and exciting work and provide clients with the talent and consulting expertise they need to compete and grow. Our unique combination of award-winning high-tech capabilities and high-touch expertise positions us well to support clients as they navigate an evolving labor market and increasingly complex business environment.

Finally, we would like to thank our global workforce for their continued dedication. Their efforts have earned Robert Half recent recognition as one of America's Most Innovative Companies by Fortune and one of the Fortune 100 Best Companies to Work For®. And just this week, we were named by Forbes as one of America's Best Employers for Company Culture.

Now, Mike and I would be happy to answer your questions. Please ask just one question and a single follow-up, as needed. If there's time, we'll come back to you for additional questions.

Q&A Session

M. Keith Waddell, President and Chief Executive Officer, Robert Half:

That was our last question. Thank you for joining us today.

Operator:

This concludes today's teleconference. If you missed any part of the call, it will be archived in audio format in the Investor Center of Robert Half's website at roberthalf.com. You also can dial the conference call replay. Dial-in details and the confirmation code are contained in the Company's press release issued earlier today.